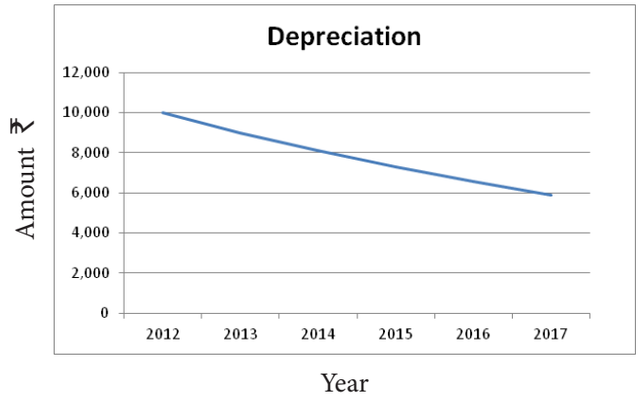
Example

On 1.1.2012, a firm purchased a machine at a cost of ₹ 1,00,000. Depreciation charged at 10% p.a. on written down value method for the five years is as follows:

Cost of the asset on 1.1.2012	₹ 1,00,000
Less: Depreciation for 2012 at 10% on 1,00,000	₹ 10,000
Written down value on 1.1.2013	₹ 90,000
Less: Depreciation for 2013 at 10% on 90,000	₹ 9,000
Written down value on 1.1.2014	₹ 81,000
Less: Depreciation for 2014 at 10% on 81,000	₹ 8,100
Written down value on 1.1.2015	₹ 72,900
Less: Depreciation for 2015 at 10% on 72,900	₹ 7,290
Written down value on 1.1.2016	₹ 65,610
Less: Depreciation for 2016 at 10% on 65,610	₹ 6,561
Written down value on 1.1.2017	₹ 59,049
Less: Depreciation for 2017 at 10% on 59,049	₹ 5,905

When depreciation is plotted on a graph for 5 years, it appears as follows:



Merits

Following are the merits of written down value method.

(a) Equal charge against income

In the initial years depreciation is high and repair charges are low. When the asset becomes older, the amount of depreciation charged is less but repair charges are high. Hence, the total burden on profit in respect of depreciation and repairs put together remains almost similar year after year.

(b) Logical method

In the earlier years, when the asset is more productive, high depreciation is charged. In the later years when the asset becomes less productive, the depreciation charge is less.

Limitations

Following are the limitations of written down value method.

(a) Assets cannot be completely written off

Under this method, the value of an asset even if it becomes obsolete and useless, cannot be reduced to zero and some balance would continue in the asset account.

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